Key Takeaways of Enforcement Case

Operational Risk Lessons from the SFC Disciplinary Action Against CISIAM

Date:	6 August 2026
Case reference:	SFC Statement of Disciplinary Action – CISIAM (fined HK$6.8 million, s.194 SFO)
Classification:	Internal – Compliance / Risk Management

CISIAM, sole fund manager for Tahoe Life's private fund, committed 92% of assets to structured notes linked to bonds of Tahoe Life's affiliate, Tahoe Group — breaching mandate limits. After Tahoe Group's 2020 default, NAV fell 57%. The SFC fined CISIAM HK$6.8 million for inadequate due diligence and risk oversight.

1. Root Cause Analysis

Each finding traces to a discrete, correctable control gap rather than a single point failure. This is the pattern most instructive for our own control design:

Failure identified by SFC	Regulatory provision breached	Root cause (control gap)
No identification/assessment of red flags in an unnecessarily complex, investor-directed structure	Code of Conduct GP2; SFC Circular (21 Nov 2019) – dubious arrangements framework	No dubious-arrangement screening tool or checklist at deal inception; no trigger to escalate investor-directed, structurally complex trades
Investments executed on investor instruction without independent due diligence	GP2; FMCC 1.2(d), 3.11.1; Internal Control Guidelines s.VIII	No segregation between investor instruction and manager's independent investment judgement; research reports were form-filling, not substantive
Investments breached the 30% single-issuer concentration limit and objective (investment-grade only)	FMCC 3.1; Internal Control Guidelines s.VIII	No automated pre-trade mandate/restriction check; look-through to underlying reference assets not performed for structured notes
No effective measures to identify, manage and monitor fund-level risk (concentration, credit, connected-party)	FMCC 1.2(d), 3.11.1	No post-trade risk monitoring/stress testing; no connected-party register; no senior management escalation and sign-off trail

2. Applicability to Company Operations

The CISIAM case is directly relevant wherever a single client or a connected group of clients can direct or heavily influence investment selection — a pattern common in single-investor or family-office private fund mandates, insurer-linked mandates, and discretionary accounts with an engaged principal. Four risk vectors deserve specific attention across our onboarding-to-monitoring chain:

- **Client onboarding:** insufficient capture, at mandate inception, of whether the client/related parties have an economic interest in prospective investments, and whether the client intends to direct specific trades.
- **Risk profiling and suitability:** mandate restrictions (concentration limits, credit-quality floors) not translated into machine-enforceable rules, and no look-through methodology for structured or linked products.
- **Trade monitoring:** pre-trade and post-trade checks that assess the wrapper's rating (e.g. an investment-grade note issuer) rather than the rating of the underlying reference asset.
- **Client information management:** no systematic capture and cross-referencing of connected-party relationships, so a fund's exposure to its own investor's affiliate is not flagged automatically.

3. Recommendations

3.1 Client Onboarding and Mandate Management

- Extend the onboarding questionnaire to capture connected-party relationships of the client/beneficial owner and any named counterparties, issuers or advisers proposed for the mandate, with mandatory cross-check against existing client and issuer records in the platform.
- Require a documented commercial-rationale assessment where a client proposes, suggests or directs a specific investment, structure or counterparty at or after onboarding, before the mandate becomes active.
- Encode investment restrictions (single-issuer limits, credit-quality floors, permitted instrument types) as structured, machine-readable data fields at mandate setup, rather than free text in the placing memorandum, so they can drive automated monitoring downstream.

3.2 Dubious Arrangement Screening and Enhanced Due Diligence

- Implement a mandatory initial screening checklist, aligned to the SFC's November 2019 Circular red flags, applied to every new private fund or discretionary investment proposal: unnecessary structural complexity; single or dominant investment selected/suggested by the investor; use of structured products/derivatives to gain exposure otherwise achievable directly; multiple or layered vehicles; and any nexus between the client and the underlying issuer or obligor.
- Where screening flags an arrangement as dubious, block execution pending enhanced due diligence and prior written senior management approval, with reasons recorded — no dubious arrangement should proceed on investment-team or single-approver authority.
- Mandate that research/due diligence memoranda substantively analyse the ultimate economic exposure (not merely the note wrapper), address each identified red flag explicitly, and are reviewed by a person independent of the relationship holder before approval.
- Maintain a firm-wide dubious arrangement log capturing every screened proposal, screening outcome, enhanced due diligence performed and senior management decision with stated reasons — auditable and reportable to the Risk Committee.

3.3 Independent Investment Judgement and Client-Directed Trade Controls

- Prohibit pure pass-through execution of client/investor instructions for discretionary or private fund mandates; require documented evidence that the manager exercised independent judgement and, where relevant, considered and rejected simpler or lower-cost alternatives.

- Introduce a specific escalation trigger for client-directed or client-suggested trades, routing them automatically to compliance and an investment committee (not the relationship manager alone) for review before execution.
- Segregate duties so the person recommending/executing a trade is not the sole reviewer of its consistency with mandate and red-flag screening.

3.4 Investment Restriction and Concentration Monitoring (Suitability & Trade Monitoring)

- Build automated pre-trade compliance checks against encoded mandate restrictions (issuer concentration, credit rating, asset class) as a hard control in the order management workflow, with trades blocked — not merely flagged — on breach absent documented senior management override.
- Require look-through analysis for structured notes, linked notes and similar wrapped products: the rating, issuer and concentration test must be applied to the underlying reference obligor, not only the note issuer.
- Run continuous post-trade monitoring of concentration and credit-quality limits at both fund and look-through levels, with automated breach alerts to compliance and periodic (at minimum monthly) attestation to the Risk Committee.
- Extend restriction monitoring through subsequent transactions (e.g. in-kind subscriptions, fund-of-fund investments) so exposure is not permitted to be masked or reset by wrapping the same asset in a further vehicle.

3.5 Risk Management Framework (Concentration, Credit, Counterparty, Connected-Party)

- Formalise a fund-level risk management policy proportionate to each fund's nature, size and complexity, per FMCC 1.2(d) and 3.11.1, covering market, credit, liquidity, counterparty and operational risk, with defined risk appetite and escalation thresholds.
- Implement periodic stress testing of concentrated or linked-product exposures, particularly for single-obligor or connected-party concentrations, with results reported to senior management and the Risk Committee.
- Maintain a connected-party register spanning clients, related fund investors, issuers and counterparties, integrated with the client information system, to auto-flag transactions where a client (or its affiliate) is economically connected to a proposed investment.

3.6 Governance, Escalation and Documentation

- Require senior management (not middle management or the deal team) to approve, in writing with stated reasons, any arrangement flagged as dubious or in breach of mandate restrictions, consistent with the SFC Circular's escalation model.
- Establish an independent compliance monitoring programme with periodic (at least quarterly) thematic reviews of private fund and discretionary mandates for red-flag indicators, restriction compliance and documentation adequacy.
- Retain full, retrievable documentation of due diligence, screening outcomes and approvals for the life of each fund and for the regulatory record-keeping period thereafter, to support both ongoing oversight and any future regulatory enquiry.

3.7 Training and Culture

- Deliver mandatory, case-based training (using this and comparable enforcement precedents) to front-office, risk and compliance staff on red-flag recognition, independent due diligence expectations and the boundaries of client instruction.
- Reinforce, through performance management and escalation protocols, that revenue or relationship considerations must never override red-flag escalation or restriction enforcement.

Disclaimer: The suggestions and recommendations in this memorandum are based on the facts and findings of the referenced case only. Actual measures required may differ depending on the reader's business, organisational structure, scale of operations, and operating style. The above does not constitute legal advice.

纪律处分个案要点

从证监会对CISIAM的纪律处分看营运风险的启示

日期：	2026年8月6日
案例参考：	证监会纪律处分声明——CISIAM（根据《证券及期货条例》第194条，罚款港币680万元）
文件分类：	内部——合规 / 风险管理

CISIAM作为Tahoe Life私募基金的唯一基金经理，将92%的资产投入与其关连公司Tahoe Group所发债券挂钩的结构性票据，违反基金投资限制。Tahoe Group于2020年违约后，基金资产净值下跌57%。证监会因CISIAM未有进行充分尽职调查及风险监察，对其处以港币680万元罚款。

一、根源分析

各项调查结果均可追溯至个别、可纠正的管控缺口，而非单一的失误。这正是我们设计管控措施时最具参考价值的模式：

证监会识别之缺失	所违反之监管规定	根源（管控缺口）
未能识别及评估投资安排中不必要地复杂、由投资者主导的危险信号	《操守准则》一般原则2；证监会通函（2019年11月21日）——可疑安排框架	在交易初期缺乏可疑安排筛选工具或检查清单；对投资者主导、结构复杂的交易缺乏呈报触发机制
按投资者指示执行投资，而没有进行独立尽职调查	一般原则2；《基金经理操守准则》第1.2(d)、3.11.1条；《内部监控指引》第VIII部	投资者指示与基金经理独立投资判断之间缺乏区隔；研究报告流于形式，缺乏实质分析
投资违反基金30%单一发行人集中度限制及其投资目标（仅限投资级别）	《基金经理操守准则》第3.1条；《内部监控指引》第VIII部	缺乏自动化交易前基金限制 / 集中度检查；未对结构性票据的相关标的资产进行穿透式审查
未能采取有效措施识别、管理及监察基金层面风险（集中度、信贷、关连方风险）	《基金经理操守准则》第1.2(d)、3.11.1条	缺乏交易后风险监察 / 压力测试；缺乏关连方登记册；缺乏高级管理层呈报及审批机制

二、对公司业务之适用性

凡单一客户或关连客户群能够主导或严重影响投资选择之情况，CISIAM一案均具直接参考价值——此模式常见于单一投资者或家族办公室私募基金委托、与保险公司关连的委托，以及委托人积极参与的全权委托账户。在我们由客户开户至交易监察的整个流程中，以下四大风险环节尤须关注：

- **客户开户：**在委托关系建立之初，未有充分了解客户 / 关连方是否与拟议投资存在经济利益关系，以及客户是否有意主导特定交易。
- **风险评估与合适性：**基金限制（集中度限制、信贷质素下限）未转化为可由系统执行的规则，亦缺乏针对结构性或挂钩产品的穿透式审查方法。
- **交易监察：**交易前及交易后检查仅评估外层票据（如获投资级别评级的票据发行人）的评级，而非相关标的参考资产的评级。
- **客户资料管理：**未有系统性地记录及核对关连方关系，以致基金对其自身投资者关连公司的风险承担未能被自动识别。

三、建议措施、政策及程序

3.1 客户开户及委托管理

- 扩展开户问卷，以记录客户 / 实益拥有人的关连方关系，以及为委托关系拟议的任何指定交易对手、发行人或顾问，并须与平台内现有客户及发行人记录作强制性核对。
- 如客户在开户时或其后建议、提出或指示特定投资、结构或交易对手，须于委托生效前就其商业理据进行书面评估。
- 在设立委托关系时，将投资限制（单一发行人限额、信贷质素下限、可投资工具类型）以结构化、可由系统读取的数据字段记录，而非仅记载于发售章程的文字说明中，以便驱动其后的自动化监察。

3.2 可疑安排筛选及强化尽职调查

- 对每宗新的私募基金或全权委托投资建议，实施与证监会2019年11月通函所列危险信号一致的强制性初步筛选清单，包括：不必要的结构复杂性；由投资者选定或建议的单一或主导性投资；使用结构性产品 / 衍生工具以取得本可直接取得的投资敞口；多重或分层的投资工具；以及客户与相关发行人或债务人之间的任何关连。

- 凡经筛选被视为可疑的安排，须暂停执行，直至完成强化尽职调查并取得高级管理层的书面事先批准（并载明理由）方可进行——任何可疑安排均不得仅由投资团队或单一审批人自行决定进行。
- 规定研究 / 尽职调查备忘录须对最终经济敞口（而非仅票据外层结构）进行实质分析，明确处理已识别的各项危险信号，并须由与该客户关系维系人独立的人员审核后方可批准。
- 设立全公司层面的可疑安排登记册，记录每宗经筛选的建议、筛选结果、已进行的强化尽职调查，以及高级管理层的决定及其理据，并可供审核及向风险委员会汇报。

3.3 独立投资判断及客户指示交易管控

- 禁止对全权委托或私募基金委托单纯按客户 / 投资者指示进行被动执行；须有文件证明基金经理已行使独立判断，并在适用情况下已考虑并否决更简单或成本更低的替代方案。
- 为客户指示或客户建议的交易设立专门的呈报触发机制，于执行前自动转交合规部及投资委员会（而非仅由客户关系经理）审核。
- 职责分离，确保建议 / 执行交易的人员并非唯一负责审核该交易是否符合委托限制及危险信号筛选的人员。

3.4 投资限制及集中度监察（合适性与交易监察）

- 在订单管理流程中建立针对已编码委托限制（发行人集中度、信贷评级、资产类别）的自动化交易前合规检查，作为硬性管控措施——违反限制的交易应被阻止而非仅作提示，除非获得高级管理层书面豁免。
- 对结构性票据、挂钩票据及类似包装产品，须进行穿透式分析：评级、发行人及集中度测试须应用于相关标的债务人，而非仅票据发行人本身。
- 在基金层面及穿透后层面持续进行交易后集中度及信贷质素限制监察，设有自动化违规提示予合规部，并至少每月向风险委员会作出确认。
- 将限制监察延伸至其后的交易（例如实物认购、基金中基金投资），以防有关资产敞口透过包装于另一投资工具而被掩饰或重设。

3.5 风险管理框架（集中度、信贷、交易对手、关连方）

- 根据《基金经理操守准则》第1.2(d)及3.11.1条，制定与各基金性质、规模及复杂程度相称的基金层面风险管理政策，涵盖市场、信贷、流动性、交易对手及营运风险，并设定明确的风险偏好及呈报门槛。

- 对集中或挂钩产品敞口，特别是单一债务人或关连方集中度，定期进行压力测试，并将结果向高级管理层及风险委员会汇报。
- 建立涵盖客户、相关基金投资者、发行人及交易对手的关连方登记册，并与客户资料管理系统整合，以便在客户（或其关连方）与拟议投资存在经济关连时自动作出提示。

3.6 管治、呈报及文件记录

- 规定任何被标记为可疑或违反委托限制的安排，须由高级管理层（而非中层管理人员或交易团队）以书面方式批准并载明理由，与证监会通函所载的呈报机制一致。
- 设立独立的合规监察计划，定期（至少每季度）就私募基金及全权委托的危险信号指标、限制合规情况及文件记录充分性进行专题审阅。
- 在各基金存续期间及其后的监管记录保存期内，保留尽职调查、筛选结果及审批的完整、可查阅记录，以支持持续监督及日后任何监管查询。

3.7 培训及文化

- 向前线、风险及合规人员提供以本案及同类执法案例为基础的强制性培训，内容涵盖危险信号识别、独立尽职调查要求，以及执行客户指示的界限。
- 透过表现管理及呈报机制强化：收益或客户关系考虑绝不能凌驾于危险信号呈报或限制执行之上。
